Crocs, Inc.

CROX | NASDAQ | Footwear

BUY

Current share price (US$): $118.54
Target price (US$): $190
Upside: +60%

CROX vs S&P 500, 12 months



Company data

Ticker / exchange	CROX / NASDAQ
52-week range	$73–$141
Market cap (US$m)	5,683
Enterprise value (US$m)	6,847
Net debt, Jun-26 (US$m)	1,164
Diluted shares (m)	48.3
Beta (selected)	1.22
Consensus PT (mean)	$138

Share price performance

	1M	3M	6M	12M
CROX	−3%	−2%	+48%	+42%
vs S&P 500	−3%	−5%	+27%	+27%

Analyst
Sidhant Thalor

Priced for the fade

We initiate coverage of Crocs at BUY with a $190 target price (+60% upside). The share price implies revenue falling 4.3% a year to FY30; our Base case has it growing 3.4% a year.

The price is the Bear case. Our Bear DCF is $114 against a $118.54 share price. The probability-weighted DCF is $207, and 81% of 10,000 Monte Carlo paths end above the price.

International is the engine. Crocs International grew +11.9% in FY25 (North America −6.8%), and International DTC is up 52% since FY23.

A cash machine. A 12.8% FCF yield, about 80% returned through buybacks, retires roughly 9% of the shares each year.

HEYDUDE is already priced below zero. Revenue peaked at $949m in FY23 and was $715m in FY25; the sum of the parts implies a negative value for it.

Downside is supported. A sponsor earns 20% a year paying up to $150 a share (26% above the price), and Deckers could buy Crocs +16.7% accretive.

Valuation. 50% probability-weighted DCF and 25% each EV/EBITDA and P/E comps: 11.6x NTM P/E against a 11.6x peer median.

Key financials and valuation (Base case)

Year to December	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (US$m)	4,102	4,041	4,104	4,248	4,423
growth	3.5%	(1.5%)	1.6%	3.5%	4.1%
EBITDA, pre-impairment (US$m)	1,116	967	970	1,031	1,091
margin	27.2%	23.9%	23.6%	24.3%	24.7%
Adjusted diluted EPS (US$)	$13.17	$12.60	$14.44	$17.05	$20.21
growth	9.4%	(4.3%)	14.7%	18.0%	18.5%
P/E (adjusted)	9.0x	9.4x	8.2x	7.0x	5.9x
EV/EBITDA	6.1x	7.1x	7.1x	6.6x	6.3x
FCF yield	16.2%	11.6%	12.8%	13.9%	14.9%
Net debt / EBITDA	1.05x	1.14x	0.99x	0.79x	0.60x

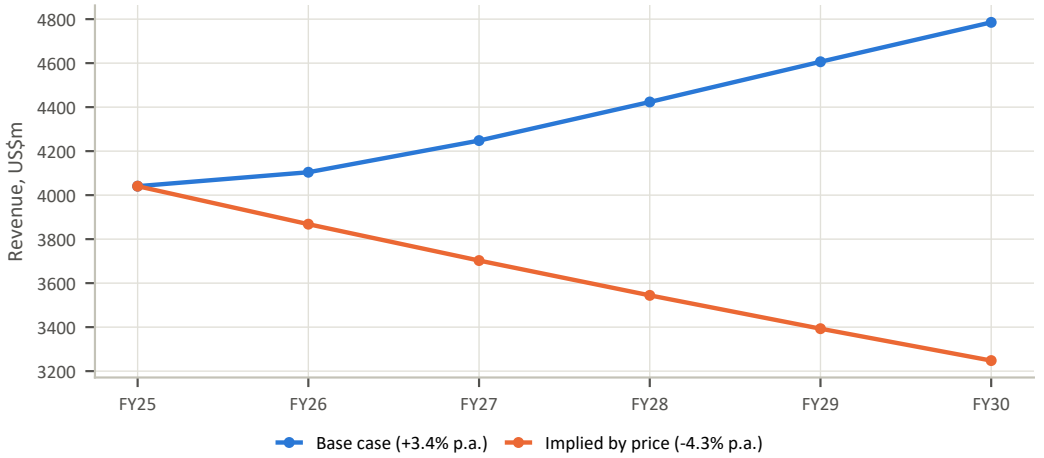
1. INVESTMENT SUMMARY

The market is pricing a fashion collapse

The price implies revenue falling 4.3% a year

Reverse DCF. The growth cut on every revenue line that brings our DCF down to the share price is 7.7% a year: revenue falls 4.3% a year to FY30. At Base margins, the price instead implies 16.6% perpetual decline.

Revenue: Base case vs what the share price implies (US$m)



Scenario values

	Weight	TV growth	DCF (Gordon)	DCF (exit 8x)	vs price
Bull	20%	3.0%	$306.64	$247.80	+159%
Base	50%	2.5%	$222.99	$190.07	+88%
Bear	30%	1.0%	$113.58	$110.49	−4%
Probability-weighted	**100%**		**$206.90**		**+75%**

Price target derivation

Method	Weight	Value / share
Probability-weighted DCF (Bull 20 / Base 50 / Bear 30)	50%	$206.90
Trading comps: EV/EBITDA (IFRS 16), developed-market median	25%	$163.11
Trading comps: forward P/E, developed-market median	25%	$190.42
Blended value → price target	**100%**	**$191.83 → $190**

2. VALUATION

Three scenarios, weighted 20 / 50 / 30

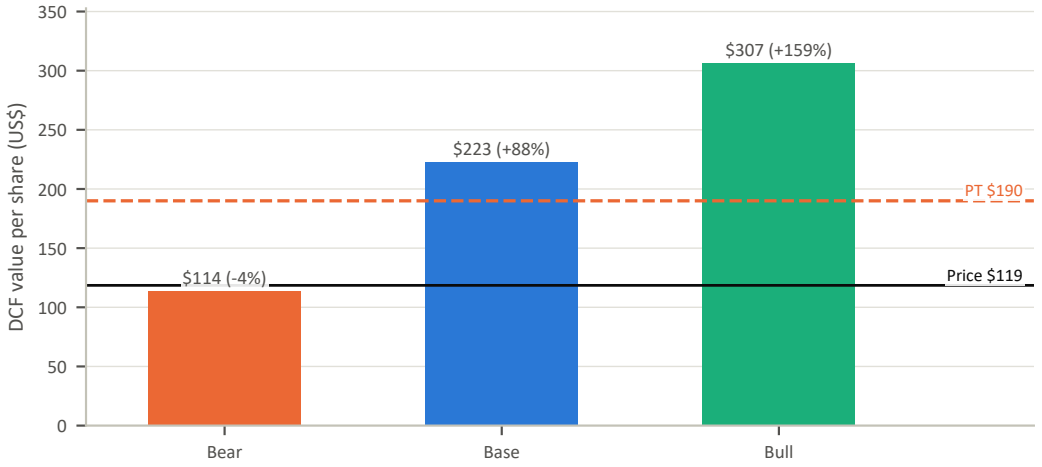
Even the Bear case is close to today's price

Bull ($307, +159%). International DTC +20% fading to +10%; North America wholesale grows from FY27; HEYDUDE gross margin back to 46%; terminal growth 3.0%.

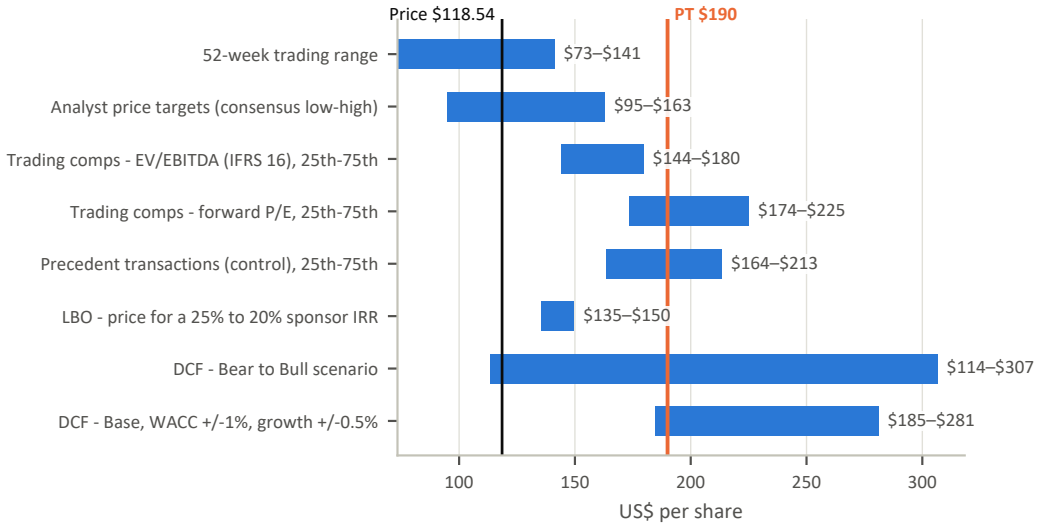
Base ($223, +88%). FY26 at guidance; International DTC +18% fading to +3.5%; North America stable by FY28; Crocs gross margin 61%; terminal growth 2.5%.

Bear ($114, −4%). The clog fades: North America declines to FY30; International DTC +3–6%; tariffs take gross margin to 59%; terminal growth 1.0%.

DCF value per share by scenario vs price and target



Valuation football field (US$ per share)



DCF method

Base DCF $222.99 per share

- **Cash flows.** Unlevered FCF from 1-Jul-2026: only the H2 share of FY26 (67%), discounted mid-period.
- **Terminal value.** Gordon growth at 2.5% with the tax rate normalised to 22%; 51% of EV. Cross-check: an 8.0x exit gives $190.07 (implied growth 0.4%); the Gordon value implies a 10.6x exit multiple.
- **Equity bridge.** EV $12,319m, less debt at face and $640m of uncertain tax positions ($13 a share), plus cash; rolled forward to 30-Sep at the cost of equity.

WACC build

Component	Value	Basis
Risk-free rate	5.28%	10-year US Treasury, 30-Sep-26
Equity risk premium	4.23%	Damodaran implied US ERP
Beta: regression (Blume)	1.31 (1.21)	5y weekly, R^2 0.16
Beta: bottom-up relevered	1.23	Peer unlevered 1.04, Hamada
Selected beta	1.22	Average of the two
Cost of equity	10.44%	CAPM
Pre-tax cost of debt	7.53%	BB spread over Treasuries
Debt weight	19.0%	Market values, leases excluded
WACC	**9.53%**	

Base DCF per share: WACC vs terminal growth

WACC \ g	1.5%	2.0%	2.5%	3.0%	3.5%
8.0%	$260	$274	$291	$312	$336
8.5%	$239	$251	$265	$281	$301
9.0%	$221	$231	$242	$256	$271
9.5%	$205	$213	**$223**	$234	$247
10.0%	$191	$198	$206	$215	$226
10.5%	$179	$185	$192	$199	$208
11.0%	$168	$173	$179	$185	$193

Other intrinsic methods (Base)

Method	Value	vs price
DCF, Gordon growth	$222.99	+88%
DCF, exit multiple 8.0x	$190.07	+60%
Free cash flow to equity	$216.52	+83%
Residual income	$192.83	+63%
Justified P/E (11.4x) × NTM EPS	$186.40	+57%
Sum of the parts	$141.82	+20%

The market pays less than nothing for HEYDUDE

Sum of the parts (FY26E EBITDA)

	EBITDA	Multiple	EV
Crocs brand	1,206	9.0x	10,857
HEYDUDE	76	6.0x	454
Corporate costs	(312)	8.5x	(2,651)
SOTP enterprise value			**8,659**
Market-implied HEYDUDE EV		-9.5x	(719)

3. ESTIMATES AND FINANCIAL ANALYSIS

Inside guidance, ahead of consensus

FY26E inside every guided range

EPS above consensus because we include H2 buybacks and a stable North America. Base needs Crocs units +2.2% in FY27 with ASP +2%.

Author's estimates vs consensus

	Author	Consensus	Difference
FY26E revenue (US$m)	4,104	4,100	+0.1%
FY27E revenue (US$m)	4,248	4,199	+1.2%
NTM adjusted EPS (US$)	$16.40	$14.95	+9.7%
12-month price target (US$)	$190	$138	+37.4%

FY26E vs management guidance (30-Jul-2026)

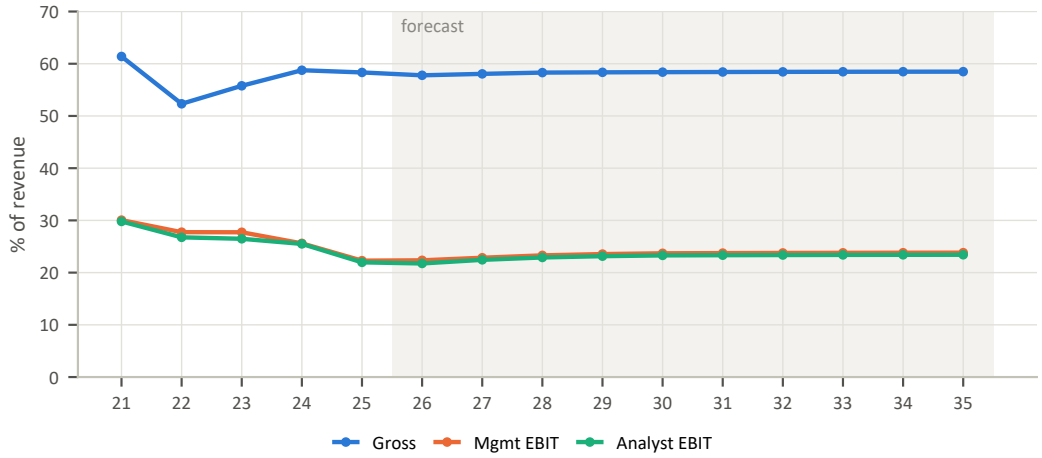
Metric	Guidance	Model	
Revenue growth	1.0% to 2.0%	1.6%	✓
Crocs brand growth	2.0% to 3.0%	2.5%	✓
HEYDUDE growth	(4.0%) to (2.0%)	(2.8%)	✓
Management (adjusted) EBIT margin	22.3% to 23.5%	22.4%	✓
GAAP effective tax rate	22.5% to 23.5%	23.0%	✓
Adjusted diluted EPS (US$)	$13.70–14.00	$14.44	above

Scenario operating outcomes

	FY30E rev.	CAGR 25–30	FY30E margin	FY30E EPS	FCF 26–30
Bull	5,322	5.7%	26.5%	$35.94	4,962
Base	4,785	3.4%	23.7%	$27.71	4,182
Bear	3,926	(0.6%)	18.7%	$16.38	2,979

No gross-margin recovery assumed

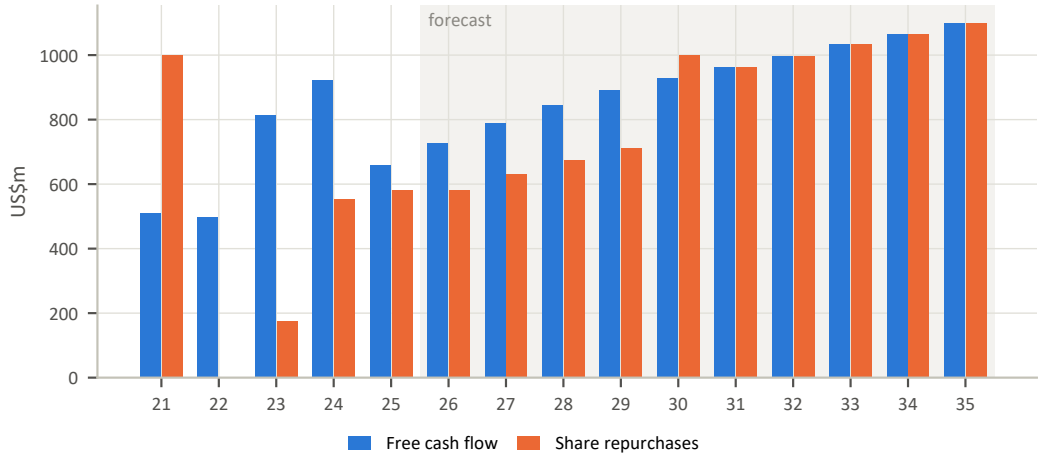
Gross, management and analyst EBIT margins



Net debt/EBITDA falls to 0.5x by FY30

Capital return. About $0.7bn of FCF a year, roughly 80% returned through buybacks (FY25: $582m).

Free cash flow vs share repurchases (US$m)



4. BUSINESS AND SEGMENTS

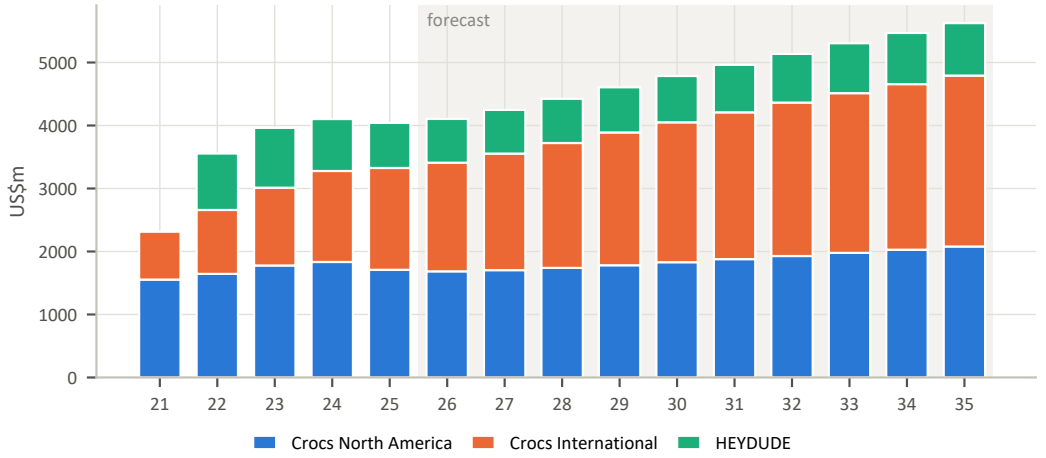
Crocs is 82% of revenue

Two brands. Crocs sells moulded clogs, sandals and Jibbitz charms; International is 49% of the brand, and International DTC is its fastest-growing line (52% since FY23). HEYDUDE wholesale has halved, with units down from 33m pairs (FY23) to 22m (FY25).

Revenue by line (US$m)

Line	FY23	FY24	FY25	FY25 vs FY23
Crocs NA wholesale	653	645	585	−10%
Crocs NA DTC	1,125	1,189	1,125	+0%
Crocs Intl wholesale	841	963	1,015	+21%
Crocs Intl DTC	394	482	601	+52%
HEYDUDE wholesale	567	456	336	−41%
HEYDUDE DTC	382	368	379	−1%
Total	**3,962**	**4,102**	**4,041**	**+2%**

Revenue by region and brand (US$m)



5. QUALITY OF EARNINGS

"One-offs" recur every year

Adjustments. We add back only impairments and acquisition accounting; restructuring charges, which management excludes, stay in our EBIT.

Tax. The GAAP tax rate ranged from −9% to +211% over FY21–25 because of intra-group IP transfers; we forecast on the 18% cash rate and normalise the terminal rate to 22%.

EBIT bridge: GAAP to analyst to management (US$m)

	FY21A	FY23A	FY25A	FY26E
GAAP EBIT	683	1,037	150	893
+ Impairments (non-cash)	0	9	738	0
+ Acquisition accounting	6	3	0	0
= Analyst-adjusted EBIT	**689**	**1,049**	**888**	**893**
+ Recurring "one-offs"	6	50	13	25
= Management non-GAAP EBIT	**695**	**1,099**	**901**	**917**
Analyst EBIT margin	29.8%	26.5%	22.0%	21.8%

6. RELATIVE VALUATION

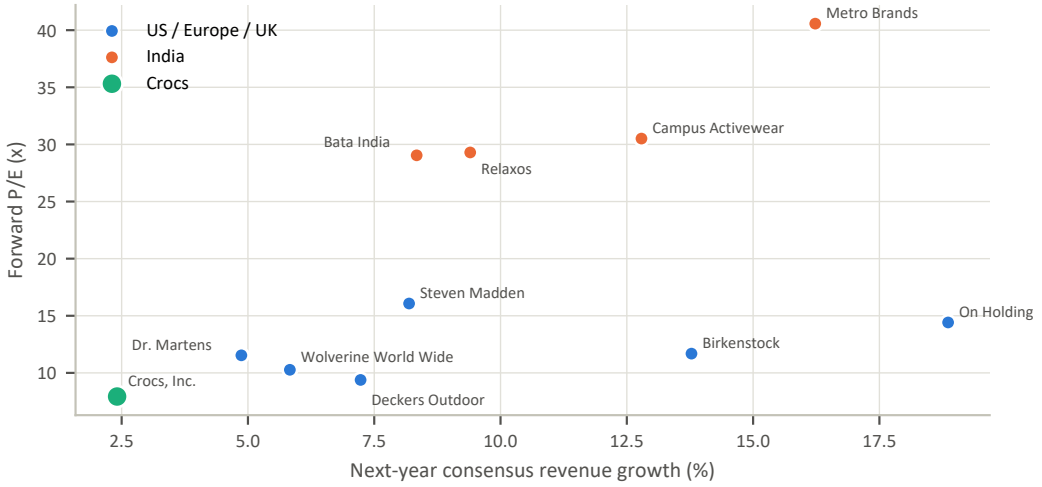
India trades about 19 turns above what growth explains

Like-for-like. Every peer is on an IFRS 16 basis (US operating lease cost added back). A regression of forward P/E on growth, margin and an India dummy (R^2 0.92) puts the India premium at 19 turns (s.e. 2.7). Crocs' fitted P/E is 8.2x vs 7.9x actual.

Trading comparables

Company	Region	Mkt cap (US$m)	EV/EBITDA (IFRS 16)	EV/EBITDA (naive)	Fwd P/E	Growth	Op. margin
Crocs, Inc.	**US**	**5,684**	**7.0x**	**7.3x**	**7.9x**	**2.4%**	**24.2%**
Deckers Outdoor	US	10,639	6.4x	6.6x	9.4x	7.2%	15.2%
Steven Madden	US	3,267	10.6x	12.2x	16.1x	8.2%	6.7%
Wolverine World Wide	US	1,559	9.2x	10.0x	10.3x	5.8%	9.9%
Birkenstock	Europe	5,336	8.8x	8.5x	11.7x	13.8%	29.0%
On Holding	Europe	9,864	15.7x	14.6x	14.4x	18.9%	14.0%
Dr. Martens	UK	890	10.3x	8.6x	11.5x	4.9%	15.6%
Metro Brands	India	2,395	25.4x	23.7x	40.6x	16.2%	18.0%
Relaxo Footwears	India	757	18.4x	17.8x	29.3x	9.4%	9.6%
Campus Activewear	India	666	25.7x	24.9x	30.5x	12.8%	8.3%
Bata India	India	830	19.0x	16.0x	29.0x	8.3%	10.6%
Developed-market median			**9.8x**		**11.6x**	**7.7%**	**14.6%**
India median			**22.2x**		**29.9x**	**11.1%**	**10.1%**
All-peer median			**13.1x**		**15.2x**	**8.9%**	**12.3%**

Forward P/E vs next-year revenue growth



Precedent transactions (median implies $190 per share)

Date	Acquirer / target	EV (US$m)	EV/EBITDA	Premium
2025-05	3G Capital / Skechers	9,400	8.2x	30%
2025-02	Kontoor Brands / Helly Hansen	900	11.3x	–
2021-12	Crocs / HEYDUDE	2,500	12.5x	–
2020-11	VF Corp / Supreme	2,100	14.9x	–
2021-02	L Catterton / Financiere Agache / Birkenstock	4,350	n.a.	–
2021-08	Authentic Brands Group / Reebok	2,500	n.a.	–

7. M&A: A PRIVATE-EQUITY FLOOR AND STRATEGIC UPSIDE

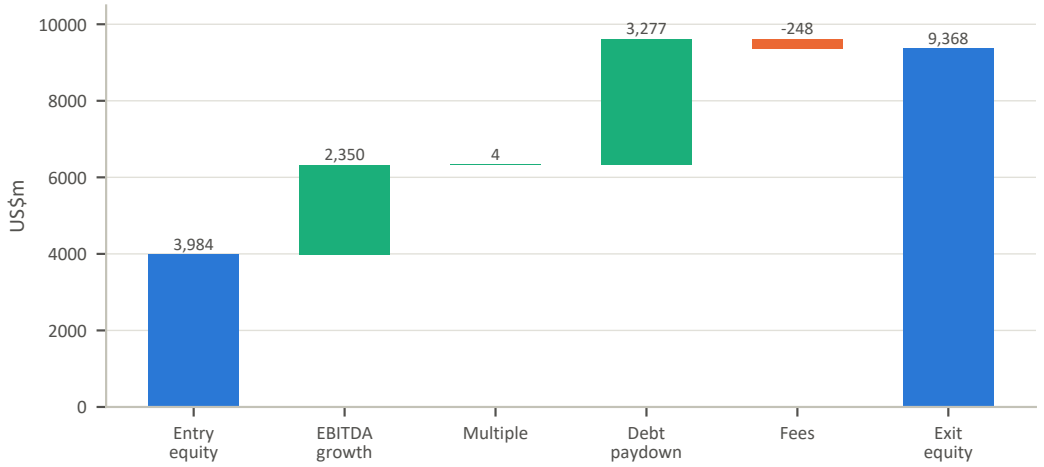
20% IRR up to $150 a share

LBO. A take-private at a 30% premium ($154.10) on 8.7x EBITDA, financed with 5.0x debt, returns 18.6% (2.35x) over five years.

LBO sources and uses, returns

Sources	US$m	Uses	US$m
Term Loan B (3.5x)	3,395	Equity purchase	7,450
Senior notes (1.5x)	1,455	Refinance debt	1,136
Existing cash	150	Fees	248
Sponsor equity	3,984	Cash to balance sheet	150
Total	**8,984**	**Total**	**8,984**
Entry EV / FY26E EBITDA			8.70x
Sponsor equity / capitalisation			45%
Exit equity, FY31 (US$m)			9,368
MOIC / IRR			2.35x / 18.6%
Max price for 20% / 25% IRR			$149.63 / $135.47

LBO equity value bridge (US$m)



Accretive even without synergies

Deckers × Crocs. A 30% premium, half stock and half cash and debt, is +16.7% accretive to NTM EPS with $150m of synergies. Crocs is bought at 9.4x NTM P/E vs Deckers' 9.4x; Crocs holders would own 26% while contributing 41% of earnings.

Merger model: Deckers acquires Crocs (hypothetical)

Deckers share price / NTM P/E	$78.38 / 9.4x
Offer price (30% premium) / NTM P/E	$154.10 / 9.4x
Equity purchase price (US$m)	7,450
Funding: stock / cash / new debt (US$m)	3,725 / 1,103 / 2,622
Run-rate cost synergies (US$m)	150
Pro-forma NTM EPS vs standalone	$9.72 vs $8.33
EPS accretion	**+16.7%**
Synergies needed to break even (US$m)	none
Crocs holders' ownership / NI contribution	26% / 41%

8. HEYDUDE: POST-MORTEM AND IMPAIRMENT TEST

Never covered its cost of capital

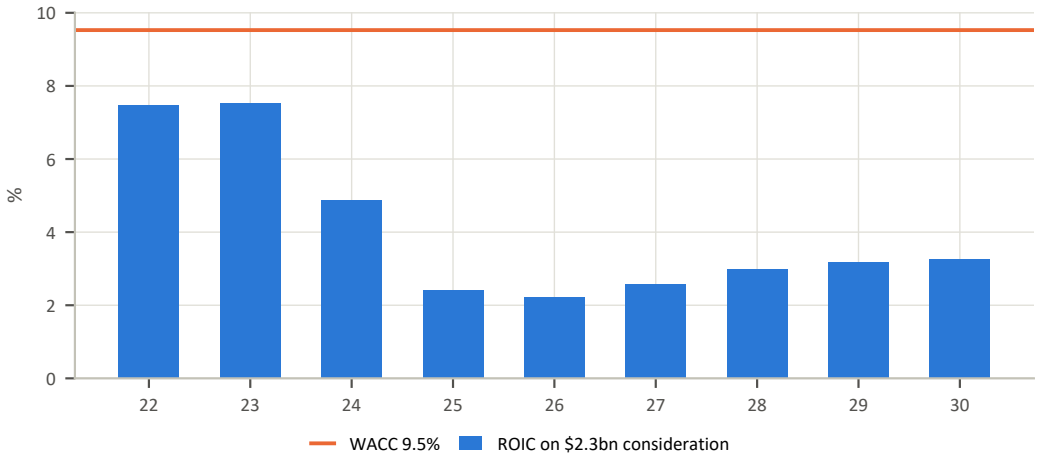
The deal. $2,317m in February 2022 at 12.5x EBITDA. The best year earned 7.5% on the price paid vs a 9.5% WACC; FY25 earned 2.4% and Base reaches 3.3% by FY30.

Impairment test. Fair value $526m vs $1,700m carrying, so further non-cash write-downs are likely.

Value destroyed and impairment headroom (US$m)

Consideration paid (fair value)	2,317
Value today at 6x FY26E EBITDA	454
Value destroyed (paid — value today — NOPAT FY22–25)	1,348
per share	$27.88
ASC 350 fair value (DCF, WACC +1%, 1.5% growth)	526
Carrying amount: goodwill + intangibles	1,700
Headroom / (shortfall)	**(1,174)**

After-tax ROIC on the consideration vs WACC

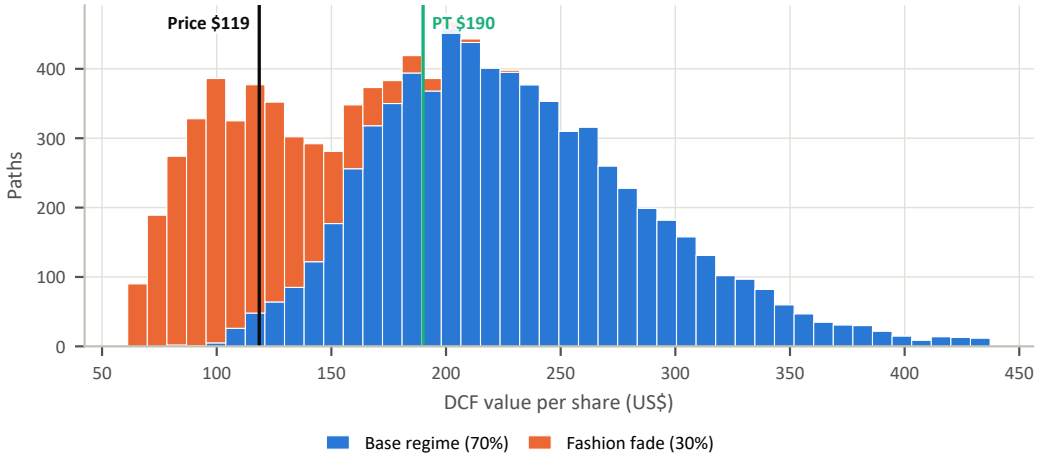


9. RISKS

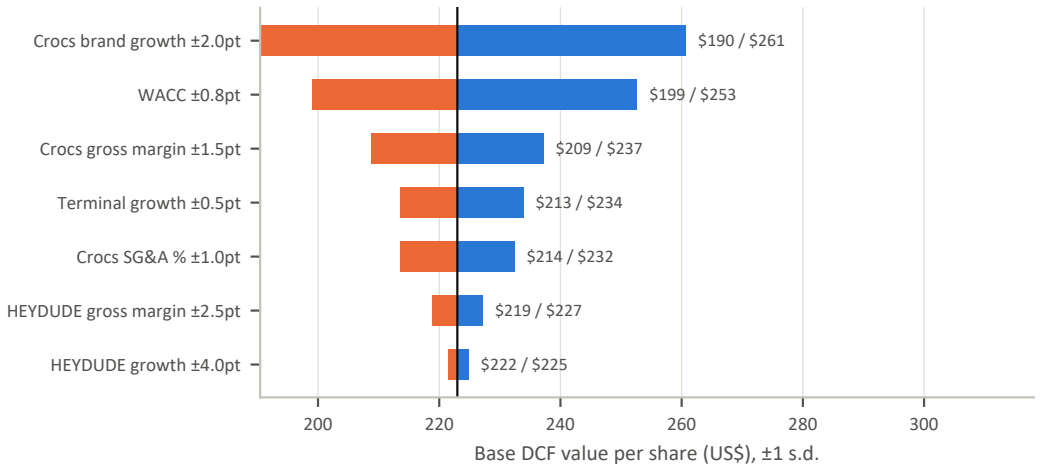
81% of paths end above the price

Monte Carlo. 10,000 paths over seven correlated drivers; 30% take a fashion fade (Crocs growth −6pts, gross margin −2pts). Fade paths centre on $109, the rest on $224; 52% end above the target.

Monte Carlo distribution of DCF value per share (P10 $97, median $195, P90 $297)



Tornado: value per share for ±1 s.d. moves



Growth matters more than margin

Operating sensitivity. The Excel data table re-runs the whole model for uniform shifts in revenue growth (every line, every year) and gross margin.

Base DCF per share: revenue growth shift vs gross margin shift

Growth \ GM	−2.0%	−1.0%	+0.0%	+1.0%	+2.0%
−3.0%	$157	$166	$175	$184	$193
−2.0%	$171	$180	$190	$199	$209
−1.0%	$185	$196	$206	$216	$226
+0.0%	$201	$212	**$223**	$234	$245
+1.0%	$218	$230	$241	$253	$265
+2.0%	$236	$248	$261	$274	$287
+3.0%	$255	$269	$283	$297	$310

Key risks

- Fashion cycle: the clog falls out of favour (our Bear case; 2008 precedent).
- Tariffs on Vietnamese production; further HEYDUDE impairments; uncertain tax positions above the $640m provision; FX.

Catalysts

- Q3-26 results; buybacks under the $2.0bn authorisation; HEYDUDE stabilising in FY27; sponsor or strategic interest.

10. METHODOLOGY

- **Data.** Historical statements, segment data and non-GAAP reconciliations from the 10-K, 10-Q and 8-K filings.
- **Model.** A standalone 24-sheet Excel model: integrated three statements FY26E–FY35E, Base/Bull/Bear drivers, debt waterfall, DCF, comps, LBO, merger and HEYDUDE impairment test. The balance sheet balances in every year and scenario; reverse DCF by Goal Seek; sensitivities as Excel data tables.
- **Valuation.** FCFF DCF (mid-period, H2-26 stub, normalised terminal tax), probability-weighted 20/50/30; target = 50% DCF + 25% each comps method, rounded to $5.
- **Risk.** An independent Python DCF reproduces the workbook to within 10^{-13} and runs the Monte Carlo and tornado.

11. FINANCIAL STATEMENTS (BASE CASE, US$M)

Income statement

	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	4,102	4,041	4,104	4,248	4,423	4,606	4,785
growth	3.5%	(1.5%)	1.6%	3.5%	4.1%	4.1%	3.9%
Gross profit	2,410	2,357	2,371	2,466	2,579	2,688	2,794
gross margin	58.8%	58.3%	57.8%	58.1%	58.3%	58.4%	58.4%
SG&A (incl. charges)	1,364	1,469	1,479	1,513	1,566	1,622	1,679
Asset impairments	24	738	0	0	0	0	0
Operating income (EBIT)	1,022	150	893	954	1,013	1,066	1,115
EBITDA (pre-impairment)	1,116	967	970	1,031	1,091	1,145	1,195
Interest expense	109	88	70	61	51	41	37
Pre-tax income	911	73	827	897	967	1,031	1,084
Income tax	(39)	154	190	197	213	227	238
Net income	950	(81)	637	700	754	804	845
Diluted shares (m)	59.8	54.2	48.3	44.0	39.9	36.4	32.6
GAAP diluted EPS (US$)	$15.88	($1.50)	$13.17	$15.92	$18.88	$22.11	$25.90
Adjusted diluted EPS (US$)	$13.17	$12.60	$14.44	$17.05	$20.21	$23.66	$27.71

Balance sheet

	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Cash	180	130	150	150	150	219	150
Receivables	258	278	281	291	303	315	328
Inventories	356	369	380	390	404	420	436
PP&E, net	244	238	249	260	271	282	294
Operating lease ROU assets	307	339	345	357	372	387	402
Goodwill and intangibles	2,489	1,729	1,707	1,686	1,668	1,651	1,636
Total assets	4,812	4,175	4,164	4,153	4,151	4,221	4,152
Accounts payable	265	266	271	278	288	300	311
Total debt (book)	1,349	1,231	1,114	965	805	700	700
Operating lease liabilities	352	383	390	404	420	438	455
Long-term income taxes payable	595	649	649	649	649	649	649
Total liabilities	2,976	2,881	2,779	2,662	2,541	2,479	2,520
Stockholders' equity	1,836	1,293	1,385	1,492	1,610	1,742	1,632
Net debt (excl. leases)	1,169	1,101	964	815	655	481	550

Cash flow statement

	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Net income	950	(81)	637	700	754	804	845
Depreciation and amortisation	70	79	77	78	78	79	80
Non-cash items, working capital, other	(27)	712	79	80	83	82	81
Cash from operations	992	710	793	857	915	965	1,007
Capital expenditure	(69)	(51)	(66)	(68)	(71)	(74)	(77)
Cash from investing	(69)	(51)	(66)	(68)	(71)	(74)	(77)
Share repurchases	(552)	(582)	(582)	(631)	(676)	(713)	(999)
Net debt issued / (repaid)	(323)	(128)	(126)	(158)	(169)	(109)	0
Cash from financing	(886)	(715)	(708)	(789)	(844)	(822)	(999)
Net change in cash	31	(50)	20	(0)	0	69	(69)
Free cash flow (CFO — capex)	923	659	728	789	844	891	930